

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

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1. Overview of the tax-benefit system

Unemployment insurance is compulsory for every insured persons specified in Act LXXX of 1997 on the Eligibility for Social Security Benefits and Private Pensions and the Funding for These Services (hereinafter: SSE), except employed pensioners entitled to draw pensions on their own right (and further persons specialised in SSE). Unemployment benefit is paid for a maximum of 270 days.¹ Social assistance is the ultimate financial aid available. Non means-tested family and child-care benefits are available for parents raising a child. In addition, specific means-tested child-care benefits may be claimed as well. Home maintenance aid is provided by the local government.

The tax unit is the individual.

1.1. Average Worker wage (AW)

The AW value for 2011 HUF is 2 645 040².

¹ This information is valid for July 2011. However, far reaching reforms were introduced with effect of September 1, 2011, that are detailed in point 12.2. The maximum duration of the unemployment benefit has been reduced to 90 days,

² AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information, see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3.

2. Unemployment insurance

Applicable statutory basis: Act IV of 1991 on Promoting Employment and Providing for the Unemployed and Act LXXX of 1997 on the Eligibility for Social Security Benefits and Private Pensions and the Funding for These Services (SSE). Basic principles: Based on principles of social insurance, financed by employers' and employees' labour market contributions and central state budget subsidies, providing earnings-related benefits to employees. Field of application: All insured persons specialised in SSE except employed pensioners entitled to draw pensions on their own right and further persons specialised in SSE.

The institutional structure of the Hungarian employment policy system can be divided into two main types: *self-governing bodies* (tripartite) on the one hand, and *administrative bodies* on the other. The self-governing bodies are the National Economic and Social Council, the Governing Body of the Labour Market Fund. The Public Employment Service is the administrative body of the employment system. It consists of the National Employment Office, the County Labour Centres, and the István Türr Training and Research Centre (with its local offices).

2.1 Conditions for receipt

2.1.1 Employment conditions

Main conditions:

- involuntary unemployment (has the conditions necessary for the establishment of an employment relationship, doesn't have exceeding renunciation initiated by the employer),
- no entitlement for old-age, invalidity pension or work accident-related disability pension,
- not pursuing studies as a full-time student at any educational institution,
- seeking employment (actively searching for a job on his own accord),
- co-operation with the labour centre (notifies the competent employment centre concerning any change in his/her status),
- enters into a job-seeking agreement/plan with the competent employment centre (in which the unemployed person undertake to document his/her attempts in job-seeking)
- accepts a job offer when presented for a suitable employment,
- has been admitted in the register of the labour centre as a job-seeker.

The start of the job-seeker benefit's payment can differ in the cases when the employee has voluntary quit his/her job, or when the employer has abolished the employment relationship with an extraordinary notice. In these cases the starting time of the payment must be postponed by 90 days following the date of registration.

2.1.2 *Contribution conditions*

Qualifying period: payment of contributions for at least 365 days during the previous 4 years qualifies for jobs-seekers' benefit. If he/she spent at least 200 days in employment over the four years prior to becoming a job-seeker, the job-seeker is granted job-seeker aid for 90 days.³

(It is worth to say, that a tax-paying period can be taken into respect only once).

The labour market contribution paid by the employee is 1.5 per cent of his/her base for social security contributions. Employer's and insured private entrepreneurs' labour market contribution equals 1 per cent of the base for social security contribution.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of the base of job-seeker benefit⁴*

As of January 2010 the determining factor is the monthly average amount of base for social security contributions reached by the insured employee in the four calendar quarters prior to becoming a job-seeker. If a base for social security contribution in the last calendar quarters before becoming a job-seeker is not available, the basis for the establishment of job-seeker benefit is the 130% of the mandatory minimum wage (101 400 HUF in 2011) prevailing on the first day of eligibility for job-seeker benefit.

The amount of job-seeker benefit for the initial period (not to exceed half of the period of eligibility or maximum 91 days) shall be 60 % of the base of job-seeker benefit. During the initial phase the minimum amount of the job-seeker benefit shall be 60 per cent of the mandatory minimum wage (46 800 HUF/month) prevailing on the first day of eligibility for job-seeker benefit, whereas its upper limit shall be twice of the amount determined in this way (93 600 HUF/month).

The amount of job-seeker benefit for the second half of the eligibility period shall be 60 per cent of the mandatory minimum wage prevailing on the first day of eligibility for job-seeker benefit. If the base of job-seeker benefit is lower than the minimum amount of the benefit, the job-seeker benefit shall be equal to the base of job-seeker benefit in both periods of eligibility.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Those claiming job-seeker benefits may not pursue any gainful activity. The only two exceptions are short term employment for up to 90 days, and employment under the scope of Act LXXV of 2010 on Simplified Employment (occasional employment and seasonal employment). During the time of short term employment, the benefit ceases to be payable (must be suspended). Payment of job-seeker benefits shall be

³ Please note that these conditions have been reformulated with effect of September 2011, as detailed in point 12.2. As of September 2011 payment of contributions for at least 360 days during the previous 5 years qualifies for jobs-seekers' benefit.

⁴ Please note that these conditions have been reformulated with effect of September 2011, as detailed in point 12.2. The upper limit of the amount of the job-seeker benefit has been reduced (from 120%) to 100% of the mandatory minimum wage.

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discontinued if the job-seeker is engaged in short-term gainful activities, not to exceed ninety days, provided the notification obligation (to the employment centre) was satisfied.

2.3 Tax treatment of benefit and interaction with other benefits

Job-seeker benefits are subject to the full range of income taxation. The pension insurance contribution is 10 %, and the years on benefit count as qualifying period for pension calculation purposes. The benefit is not subject to health contribution (and the claimant will not receive sick pay for disease during the benefit period, but will only receive the job-seeker benefit until the expiration of the entitlement).

2.4 Benefit duration and waiting periods

One day of job-seeker benefit is paid for every 5 days of insurance contribution period, up to a maximum of 270 days.⁵

The claimant can re-apply only in case of conditions as in 2.1.2. It's typical in the field of agricultural employees.

2.5 Treatment of particular groups

2.5.1 Young persons

No specific rules for young persons, the general rules of job-seeker benefit entitlement conditions apply.

2.5.2 Older workers

Benefits provided for older unemployed:

- **early pension:**

- **advanced pension** (*előrehozott öregségi nyugdíj*) in 2011 is provided: for women born in 1952 having 40 years service time at age 59 (3,5 years before their relevant retirement age 62,5), if having at least 37 years of service time, the amount of the benefit is reduced if the missing time is 1-365 days by 0.1% per month, 366-730 days 0.2% per month , 731- 1095 days 0.3% per month; and for men born in 1951 having 40 years service time at age 60 (2 years before then their relevant retirement age 62) if ceasing gainful activity, men can use this advanced pension option in 2011 if they have at least 37 years of service period and only with reduction, the rate of which is 3,6% in case of 1 year missing to their

⁵ With effect of September 1, 2011, the total duration of the benefit was reduced to 90 days, and 10 days of insurance are required for one day of job-seekers' benefit.

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relevant retirement age and could be maximum 8,4% in case of missing 2 years. (According to the former generous rules, it may have happened that women have 4 or 5 years less service time (the minimum requirement is 33 years), this case the reduction multiplicator was 0.4 % or 0.5%.)

- According to an other form (**employer-sponsored early retirement pension** – *korengedményes nyugdíj*) the employer transfers the amount of old-age pension to the Pension Insurance Fund up to the recipient's advanced pension age (rules for 2010 – see above).

If the person had 3 years to reach retirement age, he or she could receive a **pre-retirement pension** financed from the Labour Market Fund. This exit-route was terminated in 1998.

2.5.3 *Others if applicable*

Entrepreneurial benefits were cancelled from the 1 of January 2010. From this date the provisions for job-seeker benefit refer to entrepreneurs as well.

Part time employees:

If the average income is lower than the minimum amount of the job-seekers benefit, the job-seekers benefit shall be equal to the average income in both periods of eligibility.

Rehabilitation annuity:

The rehabilitation annuity is a new type of benefit introduced on 1 Jan 2008, which can be claimed from 1st January 2008. It is a type of provision, which is based on extent of health-damage

Conditions

- Having 50-79 per cent extent of damage on health, and from this reason he/she is unable to pursue his/her former job without rehabilitation and
- Does not take up gainful activity, or his/her earning is lower by at least 30 per cent than his/her average earning in the previous four months before his/her health-impairment and
- Can be rehabilitated
- He /she has the minimum service period, according to his/her age and
- Do not receive any type of unemployment or social insurance allowance or pension benefit for example old age pension, advanced old age pension, early retirement pension, disability pension, accident related disability pension, widows' or widowers' pension, miners' pension, pension for artists, pension for servants of armed forces, child care allowance, sickness pay, job-seekers' benefit, job-seekers' aid, regular social allowance, disability allowance, etc.

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The recipient has to cooperate continuously with the regional employment centre in order to achieve the successful rehabilitation. (In the frame of this he/she has to enter into a rehabilitation agreement with the competent employment centre.)

The amount of the rehabilitation annuity shall be 120 per cent of the amount of the 3rd type disability pension calculated according to the employment time and average income. Its minimal amount is 120 per cent of the actual minimum pension.

The benefit can be paid out for the time what is needed for the rehabilitation but maximum for three years. As of 1 Jan 2011, rules on Rehabilitation Annuity are modified and simplified as follows. Rules on incomes besides the annuity are tightened, and the maximum time period (3 years) of payment, once could be extended but should not exceed 4 years, all together.

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3. Unemployment assistance⁶

Following the expiration of job-seeker benefit, job-seeker aid shall be granted on the request of job-seeker in case of having submitted the request within 30 days after the date of termination of payment of job-seeker benefits (first type of job-seekers' aid).

There are two other types of the job-seeker aid. The second type shall be granted for job-seekers, who have too short time to gain eligibility for job-seeker benefit. The third type shall be granted for jobseekers, who have max. 5 years to reach retirement age.

(This aid is also based on former employment (tax-paying) period, practically this means the second part of the job-seeker benefit).

3.1 Conditions for receipt

Question of eligibility generally: see 2.1.1.

3.1.1 Employment conditions

See 2.1.1

3.1.2 Contribution conditions

See 2.1.2

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The amount of job-seeker aid shall be 40 per cent of the mandatory minimum wage (31 200 HUF) prevailing at the time of submission of the application. If the base of job-seeker benefit is lower than this amount, the amount of job-seeker aid shall be the same as the base of job-seeker benefit.

3.2.1.1 Irregular additional payments

If the jobseeker needs a medical examination for his/her job-seeking, its cost can be reimbursed, as well as the costs of travel to and from the Labour Office.

⁶ Please note that job-seeker aid has been abolished as of September 1, 2011 (except for older people before pension), as detailed in point 12.2.

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3.2.1.2 *Obligations of family members*

There is no relevance of spouse or other family members on getting unemployment assistance, therefore if spouse or other family member does not register as job-seeker, the entitled person's unemployment assistance can not be reduced.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

See 2.2.2

3.3 *Tax treatment of benefit and interaction with other benefits*

See 2.3

3.4 *Benefit duration and waiting periods*

Job-seeker aid shall be provided for 90 days or for 180 days if the job-seeker has reached the age of fifty at the time the application was submitted (only in case of the first type of job-seeker aid). The claimant can re-apply only in the case of 2.1.2. It's typical in the field of agricultural employees.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

Benefit for people in active age:

It is provided within the social assistance scheme in order to ensure a minimum standard of living for those, who are not employed, and who are in active age (18-62 years). The eligibility is depending on the income of the family. The benefit for persons in active age has no time limit.

There are two groups of persons entitled to benefit for persons in active age:

a) Persons capable of performing work are entitled to **wage subsidizing benefit**. Persons who belong to this scope are obliged to cooperate with the Public Employment Service and to take part in public work. For the period of public work, wage is paid (at least the minimum wage of the public work). The wage subsidizing benefit is paid, when the person is not involved into public work or training. The entitlement to the benefit is terminated in case the person cannot prove that in the previous year (s)he pursued a gainful activity, or took part in a training programme or in a labour market programme for at least 30 days. When social assistance is included in the modelling, the person is assumed to remain entitled to the benefit throughout their unemployment spell.

b) Persons incapable of performing work are entitled to **regular social benefit** (health impaired, people who are more than 55 years old, as well as persons who bring up a child under 14, and the attendance of the child at an institution providing daily care is not ensured. Furthermore, the competent municipality may set other conditions in its local decree connected to the family circumstances, health or mental status of the claimant, in which case the person entitled to benefit for persons in active age is defined as a person incapable of performing work.). The calculation of regular social benefit is determined on the grounds of the composition and income of the family.

4.1 Conditions for receipt

Those entitled to benefit for persons in active age are those who have completed their 18th year of age, and:

- a) Have lost at least 67 per cent of their working ability (or has a health impairment of at least 50 %), or are in receipt of blind persons' annuity or of disability assistance.
- b) Being unemployed, but no longer entitled to income supplement for the unemployed (or not entitled for income supplement at all, in this case a certain period of cooperation with the public employment service is needed)

and having no alternative source of living.

A person does not have alternative source of living, if the family's monthly income per consumption unit does not exceed 90 % of the minimum old-age pension. The definition of consumption unit: see 4.2.1.

Only one person in a family can be eligible to the benefit for persons in active age, except for the case when two claimants are entitled to different cash benefits (one person is entitled to wage subsidizing benefit (*bérpótló juttatás*), the other to regular social benefit (*rendszeres szociális segély*). Given the small proportion of the eligible population who receive regular social benefit, the modelling focusses on wage subsidizing benefit, and so only one member of the family is eligible for social assistance.

Persons who are entitled to wage subsidizing benefit are obliged to cooperate with the Public Employment Service and to take part in public work. Persons who are entitled to regular social allowance

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have to cooperate with the designated body in order to remain entitled to the benefit. The cooperation involves registering and creating and fulfil an adaptation programme.

The benefit can be received at the same time with other social benefits or incomes.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The monthly amount of the the wage subsidizing benefit is fixed, it is equal to the minimum old-age pension (28 500 HUF). For the period of work wage is paid (at least the minimum wage, the gross amount of which is 78 000 HUF, the net amount is 60 600 HUF).

The regular social benefit is calculated with the help of “consumption unit”, which shows the structure of the family. Instead of a fixed amount, the benefit depends on the income of the family. The income of the family is supplemented to 90 % of the minimum old-age pension per consumption unit.

The calculation of social assistance:

$SA = (0.9 * \text{minimum old age pension} * \text{consumption unit}) - \text{household income}$

The **consumption unit** is as follows:

The first adult: 1,0 (+ 0,2, if he/she is a single parent)

Spouse or partner: 0,9

First and second child: 0,8

Third and other children: 0,7

Disabled child: 1,0 (if there are disabled and healthy children, the first healthy child counts 0,8).

If the first adult or the spouse (partner) is receiving disability benefit, they count 1,0+0,2, or 0,9+0,2

Since 1st January 2007, the amount of the social assistance is limited: the maximum amount is the net minimum wage, 60 600 HUF in 2011.

As for the eligibility in the family to the benefit for people in active age, please see point 4.1.

4.2.1.1 Irregular additional payments [NEW ITEM]

The benefit claimant may receive another supports (e.g. heating supplement, seasonal supplement) if he/she complies with the conditions of the measure.

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4.2.1.2 *Obligations of family members* **[NEW ITEM]**

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Various benefits and allowances for persons suffering from serious health damage, such as blind person's annuity or disability assistance etc. do not count as income. Benefit recipients are allowed to perform temporary work (casual work), but the income is calculated in the benefit amount.

In the **household income** housing benefits are not included.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to taxation

4.4 *Benefit duration and waiting periods*

No time limit. It depends only on the way of discontinuing

The unemployed person's social assistance can be re-applied within 36 months from expiring, without fulfilling the preliminary collaboration obligation (if the other entitlement conditions are existing).

4.5 *Treatment of particular group*

No.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. Housing benefits for rented accommodation

The home maintenance aid is a means-tested benefit, which is provided as social assistance by the local government for a family or individual who lives in a home not exceeding a specified minimum size, provided that there is no income from the use of that home.

5.1 Conditions for receipt

The benefit is particularly justified if (normative type):

- the costs of home maintenance are equal to 20 % or more of the total monthly income of the household
- the monthly income per person does not exceed 150% of the current minimum amount of old age pension.
- Or: at the time of taking part in debt reducing service (there are no other conditions in this case)

Beyond that, the local government can provide sc. local (or “equity”) form as an independent benefit or as a supplement as well.

5.2 Calculation of benefit amount

The calculation of home maintenance aid:

The amount of the home maintenance aid is the product of the „**acknowledged cost of the home maintenance**” and the „**benefit rate**”.

„**Acknowledged cost of the home maintenance**”: the product of the acknowledged flat size and the acknowledged cost per m² defined in the Act on State Budget.

Acknowledged flat size:

- ⊙ one-person household: 35 m²,
- ⊙ household with two people: 45 m²,
- ⊙ household with three people 55 m²,
- ⊙ household with four people 65 m²,
- ⊙ household with more than four people: 5 m² increase/each additional person.

Acknowledged cost per m² in 2011: 450 HUF

„Benefit rate” (BR):

$$BR = 0,3 - \frac{I - 0,5MOP}{MOP} * 0,15$$

I: the income per consumption unit in the household

MOP: minimum old-age pension (in 2011: 28 500 HUF)

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5.2.1 *Calculation of gross benefit*

The minimum amount of the benefit is 2,500 HUF.

5.2.2 *Income and earnings disregards*

No.

5.2.3 *Costs eligible for housing benefits*

The expenses listed in the Act III of 1993 on Social Administration and Social Benefits:

1. house rent or sublease fee
2. instalment to redeem a home loan by a financial institution
3. distance heating service fee
4. common costs
5. sewer use fee
6. garbage removal costs
7. costs of electricity, water and gas consumption, and fuel.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to taxation.

5.4 *Treatment of particular groups*

No.

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

The Hungarian family support system is a universal scheme, thus every Hungarian national, long-term residents, migrant workers or refugees who are parents (foster and stepparents as well) or guardians (including foster home managers), and who have children up to a certain age (23), may be entitled to various family support benefits. These benefits are financed out of the central budget. The family support system provides:

- family allowance,
- child tax allowance
- regular child protection allowance
- irregular child protection support

Families in need are entitled to regular child protection allowance.

Irregular child protection support is social assistance-based, provided by the local government for families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living.

6.1 Conditions for receipt

General eligibility for every parent raising a child to family allowance. This benefit is provided from birth to the termination of studies in compulsory education system (usually 0- 18 years), then for secondary school education or vocational training, up to 23 years of age.

The child tax allowance reduces the tax base of parents raising child(ren).

Families in need are entitled to regular child protection allowance.

She/he is entitled to regular child protection allowance if the per capita monthly income in the family looking after the child does not exceed 140% (as from 1st September 2009) of the prevailing lowest amount of old-age pension, in case of single-parent families, or the child is permanently ill or seriously disabled, or if the child is more than 18 years old and attending to secondary or higher education, in any other case if the per capita monthly income in the family looking after the child does not exceed 130% (as from 1st September 2009) of the prevailing lowest amount of old-age pension.

(The aim of determining such an entitlement is to justify that the child according to his social conditions is entitled to get the normative allowance of daily meals, free of charge textbooks and other support).

Irregular child protection support is paid for families with temporary cash flow problems or facing emergency situations that seriously threaten their standard of living.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family allowance: (the amounts remain same as in 2008)

for one-child family:	12 200 HUF,
for one-child, single-parent family:	13 700 HUF,
for two-children family:	13 300 HUF per child,
for two-children, single parent family:	14 800 HUF per child,
for families with three or more children:	16 000 HUF per child,
for single parent families with 3 or more children:	17 000 HUF per child,
for families with severely ill or disabled child:	23 300 HUF per child,
for single parent families with severely ill or disabled child	25 900 HUF per child,
in case the child concerned is in foster home:	14 800 HUF
in the case of full aged disabled child:	20 300 HUF

The **child tax allowance** reduces the tax base of parents raising child(ren). The gross monthly amount of the deduction is 62 500 HUF per child in case of one and two children and 206 250 HUF per child in case of three or more children. In net terms it means 10 000 HUF per child for families with one child or two children, and 33 000 HUF per month per child for families with three or more children. The allowance can be claimed by either of the parents, or can be split between the parents.

In the framework of regular child protection allowance cash benefit (2 x 5 800 HUF, for the bearer who is a pensioner or entitled to old-age allowance, 2 x 8 400 HUF in 2011), subsidized meals for children and other kinds of support are provided. Each year the amount of the support will be established by the Parliament, in the act on the budget. Besides the regular child protection allowance, the bearer is entitled to a cash benefit of 6 270 HUF/month/child. It is connected to the child protection allowance (rendszeres gyermekvédelmi kedvezmény), former regular child protection support (rendszeres gyermekvédelmi támogatás). It is dedicated to a special target group: the bearers (or guardians), who receive a pension, a pension-like benefit, or old-age allowance. That means that parents are not eligible to this benefit. The eligible persons are usually the grandparents as guardians.

Irregular child protection support: the amount is designated by decree of the respective local government.

6.2.1.1 Irregular additional payments

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There's no irregular additional payment.

6.2.2 *Income and earnings disregards*

See 6.1.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to tax

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

Single parents and parents with severely ill or disabled child are entitled to higher amounts of benefits.
(see 6.2.1.)

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7. Childcare for pre-school children

Participation rates in kindergarten (school year 2010/2011):

Under 3 years 6,3 %
3 years 74,2 %
4 years 93,0 %
5 years 96,1 %
6 years 71,4 %
7 years 3,7 %.

In numbers it means 6 232 children under 3 years and 332 719 children between 3 and 7 years.

7.1 Out-of-pocket childcare fees paid by parents

At the centre-based institutes providing the day-time provisions for children the care is free of charge, the family have to pay only for the meal. The average fee is: 6 000 Ft/person/month. The basis of calculation: The cost of the raw material for one person.

After children suffering from permanent disease or being seriously disabled or those living in families with 3 or more children, the families are entitled to pay 50% reduced fee for the daily meals. Free of charge meals are provided for children entitled to regular child protection allowance in crèches, nurseries and in the first eight grades of primary schools.

At the form of the child-minding care at home the fee is based upon the hours being in care, but can not be more than 15% of the monthly income of the parents. If the care includes meal, can not be more than 20% of that.

The fees are legislated: The Act of Protection of Children 1997 XXXI regulates the question.

They are not tax deductible.

The liability for social support gives possibility for reduction of the fees.

7.2 Child-care benefits

Birth grant is a universal benefit provided for every mother (or adopting parents) right after giving birth. Pregnancy-confinement benefit is insurance-based, for the period of the maternity leave, namely 24 weeks (4 weeks before, 20 weeks after planned date of birth, or 24 weeks after the date of birth, as the choice of the mother). Child care fee is insurance based, provided after the period of pregnancy confinement benefit as long as the insurance period of the parent takes, but maximum to the age of 2 years of the child. Child home care allowance (provided also for grandparents): entitlement is universal, providing flat-rate benefit to all residents. As a general rule, the benefit is provided until the age of 3 years of the child. In case of twins, the benefit is provided until the twins enter into primary education. In case of

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a child being severely ill or disabled, the benefit is provided until the age of 10 years of the child. Child raising support: entitlement is universal, providing a flat-rate benefit, provided that there are three or more minor children (being under the age of 18) raised in the family. The benefit shall be provided from the age of 3 years of the youngest child until she/he reaches the age of 8 years.

Regular child protection support dissolved into the family allowance, the families in need are entitled to **regular child protection allowance** (see section 6).

Irregular child protection support is social assistance-based, provided by the local government for families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living. (see section 6).

7.2.1 *Conditions for receipt*

Birth grant is conditional upon that the mother completed at least four prenatal medical examinations (one in case of premature birth).

Pregnancy-confinement benefit is provided if the insured mother (or adopting mother) was insured for at least 365 days during the last two years prior to childbirth and gave birth to the child during being insured or within 42 days after having been terminated the insurance or during paid sick-leave.

Conditions of the child care fee: the parent has to be insured, and needs at least 365 days of insurance during the last two years before delivery, the child lives with the claimant's family, and one of the parents is obliged to stay at home and care for the child.

Child home care allowance: for parents who care for their children aged under 3 years (aged under 10 for disabled children) or for grandparents who care for their grandchildren older than one year in the household of the parent. In case of twins the allowance is paid until children will reach the compulsory schooling age (usually 6 years). Above 1 year of age of the child the parent can work no more than 30 hours a week a day or without time restriction at home (the child can be in a formal childcare centre without losing the allowance). The parent of a sick child can pursue a gainful activity without time restriction above 1 year of age of the child. The parent of twins above 1 year of age can decide to work full time, in this case (s)he receives only the general amount of the child home care allowance. In case (s)he chooses to work no more than 30 hours a week, (s)he is entitled to the higher amount dedicated to twins. The grandparent cannot pursue a gainful activity under 3 years of age of the child, while above 3 years, the beneficiary can pursue a gainful activity no more than 30 hours a week, or without time restriction at home.

Child raising support: see 7.2.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Birth grant: one off lump-sum payment, 225% of the minimum amount of old-age pension per child or 300 % of the minimum of old-age pension per child in case of twin-children.

Pregnancy-confinement benefit: 70% of the daily average gross earnings of the previous year.

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Child care fee: the amount of benefit is defined as 70% of the previous average daily income, with a ceiling of maximum 109 200 HUF, introduced by 1 January 2011.

Child home care allowance: the amount equals to the monthly minimum old age pension (in 2011: 28 500 HUF), in case of twins, the amount is the minimum old age pension per child.

Child raising support: the amount, irrespectively to the number of children in the family concerned, equals to the minimum old age pension.

7.2.2.2 Income and earnings disregards

There are no disregards.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

1. The pregnancy-confinement benefit is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as taxable income and interact only with child home care allowance.
2. Child care allowance is not taxable income. Pension contribution must be paid after it as the disbursement period is qualifying period for pension.
3. Child raising support is not taxable income. Pension contribution must be paid after it as the disbursement period is qualifying period for pension.
4. Child care fee is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as a taxable income and can interact with child home care allowance.

Birth grant is not taxable income.

7.2.4 *Treatment of particular groups*

See above.

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8. Employment-conditional benefits

None.

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

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9. Lone-parent benefits

See 6.2.1.

9.1 *Conditions for receipt*

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

9.2.1.1 *Irregular additional payments*

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

Reference date for all information is **July 1st 2011**

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10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Family tax allowance: For families having children, the basis of income tax can be reduced by the family tax allowance, which amounts to HUF 62,500 per month for each dependent child (for families having one or two children), or HUF 206,250 per month for each dependent child (for families having at least three children).

10.1.1.2 Standard tax credits

Employment tax credit:

- This credit is calculated as 16 per cent of the wage income (multiplied by 1.27), with a monthly maximum of HUF 12 100. If the worker's annual wage income (multiplied by 1.27) exceeds HUF 2 750 000, the tax credit is reduced at the rate of HUF 0.12 for every HUF 1 above this limit. The credit is fully extinguished once the tax base reaches HUF 3 960 000.

From 2011, the personal income tax is a flat tax system, with a tax rate of 16% and the gross income plus the 27 per cent of employer social security contributions qualify as the base of the personal income tax.

Tax Base Completing Element

As of 1 January 2010, the so-called "super gross income" has been introduced, i.e. the base for personal income tax will contain all dependent, independent and other sources of income and a tax base increasing element (gross up).

The tax base is to be grossed up by the social security to be paid by the employer, or in the absence of Hungarian social security coverage, the mandatory health care charge. When calculating the tax gross up, non-taxable income should not be taken into account.

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10.1.3 *State and local income taxes*

In Hungary there is no local personal income tax system supplementing the central one. More precisely, the total income tax collected is split between the central government and local governments. At the same time, the local governments can levy taxes on sites and buildings, tourist facilities and business activities.

10.2 *Treatment of family income*

The tax unit is the individual. Spouses are taxed separately.

10.3 *Social security contributions and payroll taxes*

Public burden on gross incomes in 2011	
Paid by the employer	Paid by the employee
Pension insurance contribution 24%	Pension contribution 10%
Health insurance and labour market contribution 3%	Health insurance and labour market contribution 7,5%
= 1,5% in-kind health ins.contr. + 0,5% in cash health ins.contr. + 1% labour market contr.	= 4% in-kind health ins.contr. + 2% in cash health ins.contr. + 1,5% labour market contr.
	Personal income tax (27% of employers contr. should be added to the gross wage): 16%

10.3.1 *Contributions payable by employees and benefit recipients*

Pensions

0

Sickness

The rate of health security contribution amounts to 6 per cent of gross earnings.

Unemployment

The worker must pay, as employees' contribution, 1.5 per cent of gross earnings.

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Note: Only earned income is liable to job-seeker benefit and sickness contributions. That is, workers pay 17,5 per cent and unemployed pay 10 %. The maximum level of yearly income subject to employee' contributions in 2011 is HUF 7 665 000 (daily HUF 21 000).

10.3.2 Contributions payable by employers

Pensions

The rate of pension security contribution amounts to 24 per cent of gross earnings.

Sickness

The rate of health security contribution amounts to 2 per cent of gross earnings.

Unemployment

The employer has to pay 1 per cent of gross earnings.

10.3.3 Payroll taxes

The training contribution amounts to 1.5 per cent of salaries paid.

10.4 Treatment of particular group

10.4.1 Young persons

As from October 2005, employers taking on career starters with a '**Start Card**' (which is valid for two years after completing studies before reaching age 25, or, as from January 2010, for one year in case of higher degree before reaching age 30) are liable to a lower rate of social security contribution (10 per cent in the first year of employment, 20 per cent in the second year as opposed to the general 27 per cent rate. In case of career starter with diploma the first supporting period lasts 9 months, the second 3 months with the above mentioned reduced social security contribution). However, this lower rate can only be applied up to 150 per cent of the minimum wage (or 200 per cent in the case of a higher degree).

Supporting Qualified Entry-level job seekers in gaining work experience: Since mid-2009, Labour centres can award grant to help new entrant young people for gaining work experience, essential for their employment. An employer may be eligible for such grant if it undertakes to employ a young entry-level job seeker for a period of at least 1 year in a job that suits his/her qualification.

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10.4.2 *Older workers*

Since 2007, employers hiring previously long-term unemployed people over 50 years of age or with only elementary qualification with a '**Start Extra Card**' (which is valid for two years) can apply for a reduction in the employer's social security contributions. The reduction is 100 per cent in the first year of employment. In the second year employers are liable to pay 10 per cent of the gross income as social security contributions. As of January 2011, the target group of the targeted 'Start Extra' contribution allowance has been extended to all job-seekers above the age of 50 or with only elementary qualification looking for job at least for **3 months**.

10.4.3 *Others if applicable*

Since 2007, employers of previously long-term unemployed people or recipients of any of the various child care benefits with a '**Start Plus Card**' (which is valid for two years) are entitled to the same allowance as set out under section 10.4.1.

11. **Part-time work**

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

Part-time workers pay the same social security contributions as full-time workers, a contribution calculated as a per cent of earnings. With the revision, and afterwards the abolishment (as of 2009) of the fixed amount health care contribution, tax burden on employers is proportional to hours worked.

Act CXXIII/2004 introduced a **reduced social security contribution for employers** in case of part-time (re)employment of a mother receiving child care benefit and employing parallel the substitute also part-time. Employer is entitled to reduced contribution. Instead of 27 % social security contribution, he can pay only 20% social security contribution in case of part time employment of both employees.

12. **Policy developments**

12.1 *Policy changes introduced: 2nd July 2010 – 1st July 2011*

Pensions:

In 2011 employee's pension contribution rate changes to 10 % and thus the total rate of employee contributions grows from 17% to 17.5%. Employer's contribution rate remains the same. The maximum level of yearly income subject to employees' contributions in 2011 is HUF 7 665 000 (daily HUF 21 000).

As from 1 Nov 2010 up to 31 Dec 2011 (for 14 months), according to Act CI of 2010, contributions paid to the 2nd pillar are redirected to the 1st pillar, due to budgetary reasons. Members of the 2nd pillar

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should have declared until 31 January 2011 whether they would stay in the 2nd pillar or return back to the 1st pillar.

A **new early retirement option** – “**women with 40 years of eligibility period**” has been introduced from 1 Jan 2011 in the 1st pillar. “40 years eligibility period for women” (“nők 40 év jogosultsági idővel”) is an early retirement option available for those women, regardless of age, who has gained at least 40 years eligibility period and are ceasing gainful activity. Eligibility period means any period gained with gainful activity or pregnancy-confinement benefit (*Terhességi-gyermekágyi segély*), child care fee (*Gyermekgondozási díj*), child home care allowance (*gyermekgondozási segély*), and child raising support (*gyermeknevelési támogatás*) or nursing fee connected to children (*Ápolási díj*). At least 32 years of gainful activity is needed besides these periods due to child raising; or 30 years of gainful activity in case of nursing fee (*Ápolási díj*). Eligibility period is decreased by 1 year after every child raised in the household for women raising 5 or more children, altogether maximum 7 years this case. In case of these pensions, women are entitled for full pension benefits, benefits are not reduced of early retiring. (As from 2013, all the other advanced pension benefits are reduced benefits.)

Changes in early retirement pension due to hazardous working conditions (*Korkedvezményes öregségi nyugdíj*) It is a benefit due after spending a certain time in a profession which is listed in a job list. This measure would have been ceased from the end of 2010, but an act was modifying the rules to extend its scope to the end of 2012.

Rules on rehabilitation annuity are modified as follows. Rules on incomes besides the annuity are tightened, the maximum period (3 years) of payment once could be extended but should not exceed 4 years altogether. (Act announced in Dec 2010)

Changes in the social assistance system:

From 1st January 2011 in the framework of **benefit for people in active age**, persons capable of performing work are entitled to **wage subsidizing allowance** (*bérpótló juttatás*) instead of availability support. Persons who belong to this category are obliged to report to the Public Employment Service (PES) for registration and to cooperate with the PES. The entitlement to the benefit is terminated if the person cannot prove that in the previous year (s)he pursued a gainful activity, or took part in a training program or in a labour market program for at least 30 days.

From 1st September 2011 the **home maintenance aid** (normative type) will be provided if the monthly income per consumption unit does not exceed 250% of the current minimum amount of old age pension. The costs of the maintenance will not be examined. The claimant is not entitled if the property of his/her family exceeds the limit defined by law. The limit is set as follows: the value of one piece of property cannot exceed the thirtyfold of the minimum old-age pension or the value of the whole property cannot exceed the eightyfold of the minimum old-age pension. Property includes usable real estate, the rights associated with that real estate and vehicles. However, it does not include the real estate where the claimant lives, the right which is connected to this real estate and the vehicle which is used to transport a mobility-impaired person.

Changes in the area of family benefits and childcare benefits

From 30th August 2010, the eligibility period of the **family allowance** decreased: it is paid up to the end of the school year in which the child reaches 20 years of age (instead of 23 years). In order to ensure the children's regular attendance at school, from 30th August, the family allowance is paid as schooling

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benefit (iskoláztatási támogatás) to the families whose children are in the age of compulsory schooling. In case of a certain extent of unjustified absence of the child from school, the benefit has to be suspended. If the child is attending to school again, the suspended amount of the schooling benefit has to be paid to the family in kind.

As regards children born after 30th April 2010 the eligibility period of child home care allowance decreased from 3 to 2 years, however, from 1st January 2011 the government restored the previous system of **child home care allowance**, so, as a general rule, the benefit is provided until the age of 3 of the child, even in case of children born between 30th of April 2010 and 1st January 2011 (when the new law came to force).

The child raising support is provided when child home care allowance has expired. As regards children born after 30th April 2010, the starting point of the child raising support was supposed to be the second birthday of the child. As the government restored the previous system of child home care allowance, the starting point of child raising support is the third birthday of the child again (as child home care allowance expires at the age of three of the child).

The rules on **working besides child home care allowance and child raising support** have changed as from 1st January 2011. In case of child home care allowance, under 1 year of age of the child, the parent cannot pursue a gainful activity. Above 1 year of age of the child the parent can work no more than six hours a day that enables her/him to spend more time with the child or without time restriction at home. This measure is aiming to help mothers to better reconcile their child-raising responsibilities and work obligations. The parent of a sick child can pursue a gainful activity without time restriction above 1 year of age of the child. The parent of twins above 1 year of age can decide to work full time, in this case (s)he receives only the general amount of the child home care allowance. In case (s)he chooses to work no more than six hours a day, (s)he is entitled to the higher amount dedicated to twins. The grandparent cannot pursue a gainful activity under 3 years of age of the child, while above 3 years, the beneficiary can pursue a gainful activity no more than 6 hours a day, or without time restriction at home. In case of child raising support, the beneficiary can pursue a gainful activity no more than 6 hours a day, or without time restriction at home. These measures support the reconciliation of work and family life.

From 1st January 2011, in case of twins the amount of the child home care allowance is equal to the minimum old-age pension of HUF 28,500 per child (before 2011, it was the double amount of the minimum old-age pension, irrespectively of the number of the children).

From 1st January 2011 the maximum amount of **child care fee** is 109 200 HUF/month.

Tax system:

Hungary introduced a flat 16 percent personal income tax rate, along with tax breaks for parents.

The key changes:

- 16% flat rate personal income tax, which is still calculated on the super gross income in 2011. (The so-called „super-gross”, introduced in 2010, remained the tax base for personal income tax - the gross wage increased by 27%, the rate of employer social security contributions). Beginning in 2012, the “super-gross” principle will be applied only to wages above HUF 202,000 and in 2013 it will be abolished completely.

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- Retirement pension, child raising support, child home care allowance and birth grant are free of tax regardless of any other income of the individual from 2011. Private individuals who are members of any voluntary mutual insurance fund may have 20 % tax return on their individuals' account after the sums they paid in before 2011 it was 30 % because of the higher tax burdens on one's incomes).
- The tax on interest gains, capital and exchange rate gains and dividends will be 16%
- child tax allowance will indeed reduce the tax base, that is:

the tax allowance per month will be - depending on the number of dependent children -

a) HUF 62,500 if there are 1 or 2 dependent children;

b) HUF 206,250 if there are 3 or more dependent children.

This means one of the parents with two children is to receive HUF 10,000 tax relief after each child a month. (They can choose to split so that both of them get the tax relief - only after one child per person, of course.) This applies to parents with three dependent children, as well. The tax relief in their case is HUF 99,000, i.e. HUF 33,000 per child.

The maximum tax credit per month is to be cut by 20% to HUF 12,100 from HUF 15,100 (the tax credit is calculated as 16 per cent of wage income earned). If the worker's annual income exceeds HUF 2 750 000, the tax credit is available at a reduced rate. The credit is fully extinguished once income reaches HUF 3 960 000.

- From 1st January 2011 employee pension contribution was increased by 0.5 percentage point to 10%, and thus the total rate of employee contributions grew from 17% to 17.5%.

Employment:

Some changes in rules of Simplified Employment has been introduced from 1 August, 2010: One can have seasonal employment up to 120 days, occasional employment up to 90 days pro year. No contribution by the employee should be paid, but the employer is obliged to pay HUF 500 contribution /day by seasonal and HUF 1000 /day by occasional employment irrespectively of wage and daily working time. Number of seasonal employees by one employer is not determined, number of occasional employees depends on the size of the company, on the average staff number. Decreased administrative burdens were also introduced: Written work-contract is not requested only in case of employee's demand. Attendance register should not be led by the employer.

A new support system for public employment was introduced from January 2011. (Government Order 375/2010 (XII. 31.)) Main elements of the changes are that financing of public employment system became unified and will be provided by the Labour Market Fund. As far as financing will be implemented through a compulsory tender process the Public Employment Service will have a more important effect for involvement of disadvantaged groups. Next to municipalities, institutions of civil organs and churches are also allowed to take part in tenders, contrary to the former system where municipalities and their institutions were only entitled to participate in public employment programmes. Focus is laid down on disadvantaged groups who cannot (re)enter the primer labour market without assistance. In the frame of the new solid system following forms of public employment can be highlighted: 1. Public employment for a shorter period (4 working hours/day for 2-4 months, for workers without training and education in social disadvantaged position, 95% of wage and its contribution can be financed.) 2. Public employment for longer period (6-8 working hours/day, for vocational trained workers for 8-12 months, 70-100% of the

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wage and its contributions can be financed.) 3. National Public Employment Programs (for infrastructure, protection against flood and inland inundation, railway and public road reconstructions, etc, 70% of the wage and its contributions can be financed, for maximum 12 months.) 4. Entrepreneurs can also receive support for employment of job seekers entitled to wage subsidizing allowance. (From January 2011 instead of availability allowance we introduced the so called wage subsidizing allowance.) (70% of the wage and its contributions can be financed for maximum 8 months and there is an obligation for further employment equivalent to the half of the supported period.) There are different conditions for receiving wage subsidizing allowance: having at least 30 working days in the previous year, or taking part in a labour market program or in a minimum 6 months long training or voluntary public work can be accepted as well.

Act CXXIII/2004 introduced a **reduced social security contribution for employers** in case of part-time (re)employment of a mother receiving child care benefit and employing parallel the substitute also part-time. Employer is entitled to reduced contribution. Instead of 27-27% social security contribution, he can pay only 20% social security contribution in case of part time employment of both employees.

As of 1 January 2011, the target group of targeted contribution allowances (START Extra) for older (50+) or low-skilled workers has been expanded (Act CXXIII/2004). In 2011, employers hiring an older (50+) or low-skilled unemployed who has been registered as a job-seeker for at least **3 months** can apply for a reduction in the employer's social security contributions (while in the previous regulation employers could apply for the reduction only if they hired a previously long-term unemployed person over 50 or with only elementary qualification who has been registered as job-seeker for at least 12 months).

As of 1 January 2011, the 7 Regional Labour Offices which operated since 1 January 2007 have been reorganised into 20 County Labour Offices.

As of 22 July 2011, the Governing Body of the Labour Market Fund was abolished. The Labour Market was renamed to National Employment Fund.

12.2 Future policy changes announced since 1st July 2011

Pensions:

Changes in the pension system in effect from 1 Jan 2012

The Parliament has adopted the **Act CLXVII of 2011 on the termination of early retirement pension (korhatár előtti öregségi nyugdíj), on the benefits prior to retirement (korhatár előtti ellátás) age and on the benefits of the official members of the armed forces** in session of 28 November 2011.

According to Act CLXVII of 2011 **early retirement pensions may not be awarded from the starting date after 31 December 2011**. From 1 Jan 2012 former early retirement pensions will not be paid as pensions, and a **pension could be awarded only after reaching the standard retirement age**. Formerly there have been several generous early retirement options in the pension system. Persons with long service period could claim advanced pension or advanced pension with reduced sum, while person working in certain jobs arduous to health could claim early retirement pension due to hazardous working conditions. Besides, certain professional pensions could be claimed by artists or miners, regardless of age and in case of having at least 25 years service period in the professions specified in the legislation. Special

pension legislation sets the rules for armed forces, who could retire in a quite young age, while generous rules applied to former mayors and Members of the Parliament (MPs) as well. Another early retirement option existed when the pension was financed by the employer until reaching retirement age, thus the employee could retire years earlier than his/her relevant retirement age.

The above-mentioned **generous early retirement options will be ceased from 1 Jan 2012**. Necessarily, transitional rules apply to those persons who are currently in receipt of the former early retirement options, although their former benefit will be paid further on not as a pension but as a “benefit prior to retirement”. The benefits are indexed the same way as pensions. The introduction of “benefits prior to retirement” instead of the former early retirement options means the loss of pensioner status for the recipients. Thus it also means losing e.g. eligibility to certain preferences provided to pensioners, e.g. for travelling expenses. Furthermore, person who have acquired the eligibility criteria for the above-mentioned early retirement options but have not claimed their benefits could exercise their right later on, and they as well will be awarded a “benefit prior to retirement” and not a pension. The system for persons employed in hazardous to health jobs is also changing in 2012, but in 2012 former rules apply. Persons employed in underground mines and certain ballet dancers could be entitled to “benefits prior to retirement” in the future.

In designing the rules on benefits prior to retirement the focus has been placed on 3 major areas. Firstly maintaining and creating possibilities in the future for exercising formerly acquired rights. Secondly on the payment of formerly awarded benefits without reduction, excluding service benefit for the armed forces and prior to retirement benefit for MPs. Thirdly on the annual increase of these benefits with the same rules as for pensions.

Changes in the disability system in effect from 1 Jan 2012

The disability pension system is also changing. The focus is still on remaining work capacity, on rehabilitation and leading back to the labour market

On the workday of 20th December 2011, the Parliament has adopted **Act CXCI of 2011 on the benefits for persons with changed work capacity and amendments of certain acts**. This Act is in effect from 1 Jan 2012 and has been promulgated by the Official Journal issue no. 162 of 29th December 2011.

Pursuant to Act CXCI of 2011, disability pensions, accident-related disability pensions, rehabilitation annuities, regular social annuities for persons with ill-health, temporary invalidity annuities and health damage annuities for miners shall not be provided from 1 Jan 2012.

Persons eligible to benefits for persons with changed work capacity are those whose state of health is at 60% or less and who had been insured **for at least 1095 days** within 5 years before submitting the claim, has not been performing any gainful activity neither in Hungary, nor abroad, and does not receive any regular cash benefits. A person may be entitled to benefit for persons with changed work capacity regardless of the length of insurance period provided that they became insured within 180 days after finishing their studies and as such, they had been insured without a break of more than 30 days before submitting the claim, or they received disability pension, accident-related disability pension, rehabilitation annuity or any pension-type benefits for persons with ill-health on 31 Dec 2011.

In the course of complex assessment, the National Rehabilitation and Social Authority (NRSZH) shall examine the percentage of the applicant’s state of health, the accessibility to rehabilitation and in the latter case, it shall determine a motion for rehabilitation, and benefits for persons with changed work capacity could be ‘rehabilitation benefit’ or ‘disability benefit’.

A person with changed work capacity is entitled to **rehabilitation benefit**, if he/she could be rehabilitated, or **disability benefit**, in such cases where rehabilitation is not recommended if he/she could not be rehabilitated, and the time missing before reaching retirement age does not exceed 5 years.

Social assistance system:

The regulation of the Social Act on the maximum amount of the benefit for persons in active age has changed from 1st January 2012. The maximum amount of the regular social benefit (one type of benefit for persons in active age) is defined as 90 % of the net public employment minimum wage, when there is only one beneficiary in the family.

(According to the previous regulation the maximum amount was the general minimum wage.) In case in one family two types of cash benefits (regular social benefit and employment substitute support) are paid, the total amount of the two cash benefits cannot exceed 90 % of the net public employment minimum wage. The gross public employment minimum wage (introduced from 1st September 2011) was 57 000 HUF in 2011. As from 1st January 2012 it is 71 800 HUF.

From 1st January 2012 the monthly amount of employment substitute support is reduced to the 80% of the minimum old-age pension (22 800 HUF).

From 1st January 2012 the age limit of the entitlement to regular social benefit (55 years) changed: those persons are entitled to regular social benefit who have not more than five years before the retirement age. Those who are below this age limit are entitled to employment substitute support.

From 1st September 2011, the name of the wage subsidizing benefit (bérpótló juttatás) changed to employment substitute support (foglalkoztatást helyettesítő támogatás).

Employment:

New unemployment benefit system

As of September 1, 2011, the unemployment benefit system underwent far-reaching reforms. As a general rule, all requests for benefits must be assessed on the basis of the rules in effect at the time of submitting the request.

The changes to the types of benefits and their duration

- The two phases of **payment of the job-seekers' benefit** has been abolished according to the new rules. Furthermore, the maximum duration of the benefit has been reduced, instead of the previous 270 days, the benefit can only be paid for max. 90 days.
- Two types of job-seekers' aid (1: to be paid right after the job-seekers' benefit, 2) established on the basis of 200 days of employment relationship) were abolished.
- The previous 3rd type of job-seekers' aid has been maintained, but renamed „job-seekers' aid before pension”. The eligibility conditions are the same, except for the fact that only 90 days of job-seeker benefit is required as an eligibility period, instead of previous 140 days.

Changes to the eligibility requirements for job-seekers' benefits

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- **The eligibility period** of the job-seekers' benefit has been **increased** from 4 years **to 5 years**, the qualifying time (time spent in employment) has been **reduced** from 365 days **to 360 days**.
- The 5-year eligibility period **is not extended** by the periods that are usually assimilated to an employment relationship (eg. time of child-care allowance, military service) when the recipient was employed, self-employed or **participated in a public works programme**.
- Right now, **10 days of insurance period** is required for the payment of one day of job-seekers' benefit, compared to the previous 5 days.

Amendments to the conditions of accepting a suitable job offer

- Accepting a suitable job offer is mandatory for everyone receiving unemployment benefit, for those who do not receive unemployment benefit, it is **mandatory to accept enrolment in a public works programme** (otherwise they will no longer be entitled to social assistance).
- Even a job offer where the place of work is far away from the residence of the recipient has to be accepted, if the following conditions are fulfilled:
 - A job offer for a job necessitating more than 3 hours but less than 4 hours of daily commuting (for single parents, more than 2 hours of commuting) must be accepted, if the employer provides free transport.
 - A job offer for a job necessitating more than 4 hours of daily commuting must be accepted, if the employer provides free accommodation, food and an opportunity to use a bathroom.
 - Moreover, if daily commuting from the workplace is impossible, the job-seeker is only obliged to accept the job offer, if his/her family circumstances are not adversely affected. The administrative officer of the local government is entitled to investigate this circumstance and to issue a waiver.

As of January 2012 the START Extra and Plus schemes are going to be transformed.

Tax system

From 2012 the social security contributions will be transformed into a tax (Social Contribution Tax). The targeted SSC allowance of the "START card" will be carried on in the new system as a tax allowance.

The complex system of the wage tax credit was abolished last year and for the next two years employees will be compensated temporarily through their employers with a mechanism that provides tax incentives (social contribution tax credit) for wage increases. This affects those who earn less than HUF 216,000. A new tax benefit in the social contribution tax has been introduced effective from 2013 providing incentives for the employment of unskilled workers).

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.